

State Agency Promising Practice

TOPIC:
Funding and
Service Contracting

Indiana: Using Funding to Improve Integrated Employment Services

By Jean Winsor and Racheal I Inegbedion

Project Background

The Impact of State Intellectual and Developmental Disabilities Agency Employment Contracting Methods and Service Payment Rates on Employment for Individuals with Intellectual and Developmental Disabilities (IDD) is a project of the Institute for Community Inclusion at the University of Massachusetts Boston. The goal of this project is to explore how state IDD agencies' contracting and payment methods supported the use of innovative employment services, access to assistive technology, or improvements in the employment services workforce to ensure access to high-quality employment services. To explore this topic, we have selected eight states whose IDD agency and/or Medicaid Authority developed and implemented financing strategies that reflect the factors of interest.

Introduction

Indiana's approach to enhancing employment outcomes for people with intellectual and developmental disabilities (IDD) through the state's Medicaid Home and Community-Based Services (HCBS) waivers demonstrates a comprehensive strategy toward fostering community employment and integrating assistive technology and remote supports to improve employment outcomes. This profile highlights Indiana's efforts in structuring financing, developing partnerships, implementing quality-driven performance, navigating challenges, and planning for sustainability.

Indiana has leveraged a mix of Medicaid and non-Medicaid sources to finance integrated employment and related services for people with IDD. This diversified funding approach ensures that a broad range of services and supports are available, including career exploration.

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State Initiatives and Strategic Implementation

A Funding Strategy to Support the Transition toward Community-Based Services

Indiana has engaged in a multiyear effort to refocus programmatic and funding toward community-based services that lead to competitive integrated employment outcomes. This long-term vision is supported by the addition of career exploration and planning services to its waivers and ending facility-based pre-vocational services by 2027. Community-based pre-vocational services will continue to be available. Together these actions are intended to ease the transition to integrated employment services.

Indiana also used American Rescue Plan Act (ARPA) funds to support transformation grants for community rehabilitation providers (CRPs). By using ARPA funds to provide financial resources to CRPs so they can modernize their business infrastructure and upskill their workforce, the state hopes to ensure that CRPs have the capacity to move toward providing community-based employment services. Examples include investments in staff training and expertise, technology updates for the provision for community-based service delivery, and data systems to track outcomes and service quality. To help support this transition, Indiana has also contracted Liberty Healthcare to conduct on-site CRP quality assurance reviews and make concrete



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recommendations to CRPs to improve their day and residential models of service delivery.

Indiana continues to explore the use of value-based payment models and incentive structures in their HCBS waivers. This includes exploring pay-for-reporting models as a steppingstone toward more sophisticated performance-based reimbursement structures. The long-term goal of this is to use alternative payment models to ensure CRPs prioritize providing high-quality employment services and to facilitate individual level progress toward their employment and community life goals.

Use of Technology and Assistive Tools

Indiana has also taken steps to use technology to enhance service delivery. During the COVID-19 public health emergency, the state adapted its contracting and payment methods to support the delivery of services remotely. The public health emergency also provided additional urgency to expand low-cost internet resources to people with IDD and their families. Currently the state is working to implement a five-year plan for Broadband Equity Access and Deployment (BEAD).

Impact

The state of Indiana's efforts to scaffold changes in service delivery, funding, and CRP practices to support a long-term interest in moving to alternative payment systems, reflects a careful and informed approach to reform. Indiana recognizes the need for internal capacity building at the CRP level to effectively implement and use data to improve service quality. The move to reduce facility-based employment strengthened the need for providers to have data available to make informed decisions and enhance operational practices.

Challenges, Opportunities, and Future Directions

Indiana is focused on transitioning from facility-based services to community-based employment supports. This phased approach reflects a long-term commitment to improve

outcomes for people with IDD, emphasizing the development of a robust service array that supports integrated employment. To fully transition from a fee-for service payment model to alternative fundings structures, Indiana will need to maintain its focus on quality improvement, data, and refinement of its waiver array to support integrated employment.

Conclusion

Indiana's strategies for financing integrated employment outcomes for people with IDD create a supportive environment that encourages CRP transformation and enhances service quality. The state's phased plan to transition away from facility-based services to more inclusive, community-based employment opportunities underscore a commitment to the well-being and independence of people with IDD. By addressing current challenges, leveraging technology, and planning for future sustainability, Indiana provides an example for other states actively working toward improving the quantity and quality of integrated employment for people with IDD.



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